

Explain the causes and effects of a current account deficit and surplus, respectively, with reference to the balance of payments.

#explanation

#bop

#current-account

The current account (CA) is the record of the value of all transactions between the residents of one country and the residents of all other countries. Examples of some transactions included under the CA would be trade of goods and services, net income flows and net current flows. A CA deficit would suggest that a country is experiencing a trade deficit, where import expenditure of goods and services is greater than the revenue gained from selling exports to other countries. This is because the trade of goods and services is the most significant amongst all other factors that is recorded under the CA. Likewise, a CA surplus would imply a trade surplus, where total revenue of goods and services exceeds the total expenditure on imports of goods and services.

Causes of a surplus or deficit in the CA are similar; demand and supply side factors determine changes in the CA.

One demand-side factor that impacts CA would be economic activity from trading partner countries. If there is an economic boom worldwide, and households of all other countries have an increase in disposable income, consumers from those countries are likely to demand more exports, leading to an increase in revenue from exports and hence an increase in the trade surplus. This would lead to a decrease in the CA surplus and a decrease in the CA deficit.

Next, the incomes of domestic consumers can also affect the CA. If domestic consumers of a country have an increase in disposable income, there would likely be an increase in the CA deficit and a decrease in the CA surplus. This is due to an increase in expenditure for imports, leading to an increase in the deficit of the balance of trade. In other words, changes in disposable income of domestic consumers increases the demand for imports, leading to an increase in the CA deficit.

Lastly, the exchange rate — which is also a demand-side factor — can contribute to changes in the CA. With respect to a country with a relatively weaker exchange rate to their trading partners; more of their currency is required to import goods and services whilst their exports are relatively cheaper. The Marshall-Lerner condition states that a CA deficit is reduced if, and only if, the sum of the price elasticity of demand of imports and exports is strictly

greater than 1. However, that condition is subject to the J-curve effect as a result of a delayed response to the change in the exchange rate by foreign and domestic consumers and producers; there would be an initial worsening of a CA deficit before it would improve, where the Marshall-Lerner condition does not hold, at first.

Supply-side factors can also lead to changes in the CA. These factors *usually* affect the competitiveness of a country's exports.

For instance, if a country lacks skilled workers, or has a reduced productivity in its work force, it may experience a CA deficit as domestic firms would not be as competitive as foreign producers; foreign producers may be able to sell the same goods and services as domestic firms at lower prices or of higher quality. This is because productivity and availability of skilled workers would imply that firms can generally output more by employing more factors of production at a sustainable level.

TODO: can comparative and absolute advantage be added here in the future?